

CONTOSO TRADING SERVICES

Sales and Pricing Policy

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Approved By: Margaret Hale, VP Sales

1. Purpose

This policy defines how Contoso Trading Services prices its products, the discount authority available to each level of the sales organisation, the payment terms offered to each customer segment, and the approval thresholds that apply to large orders. It applies to all sales activity in the North America, Europe, Asia Pacific and Middle East regions.

2. Customer Segments

Every customer account is assigned to exactly one of five segments. The segment determines the discount ceiling, the payment terms and the credit limit band. Segment changes require the approval of the Regional Sales Manager and take effect from the following calendar quarter.

Segment	Typical Profile	Credit Limit Band (USD)
Enterprise	More than 1,000 employees, multi-site	250,000 - 500,000
Mid-Market	200 to 1,000 employees	75,000 - 200,000
SMB	Fewer than 200 employees	10,000 - 50,000
Government	Public sector and agencies	150,000 - 400,000
Education	Schools, colleges, universities	40,000 - 120,000

3. Discount Authority

Line-level discounts must fall within the ranges below. A discount above the segment ceiling is not permitted under any circumstances and will be rejected by the order entry system. Government and Education pricing is fixed by framework agreement and must not be varied.

Segment	Minimum	Maximum	Approval Required Above
Enterprise	5%	15%	10% - Regional Sales Manager
Mid-Market	0%	10%	7% - Regional Sales Manager
SMB	0%	5%	None within range
Government	12%	12%	Fixed - no variation permitted
Education	8%	8%	Fixed - no variation permitted

3.4 Discounts apply to the line unit price only. Freight is never discounted. Line revenue is calculated as quantity multiplied by unit price, less the line discount percentage.

4. Payment Terms

Segment	Standard Terms	Notes
Enterprise	Net 30 days	Extendable to Net 45 by VP Sales approval
Government	Net 30 days	Subject to framework agreement
Mid-Market	Net 15 days	Net 30 after 12 months of clean payment history
Education	Net 15 days	Aligned to academic purchase cycles
SMB	Payment in advance	Net 15 available above 100,000 annual spend

4.6 Part payment is accepted on orders above 50,000 USD, with a minimum first instalment of 50 per cent of the invoice value. The balance falls due within the standard terms for the segment.

5. Order Approval Thresholds

Order Value (USD)	Approver
Up to 25,000	Account Executive
25,001 to 100,000	Regional Sales Manager
100,001 to 250,000	VP Sales
Above 250,000	VP Sales and Finance Director jointly

5.5 An order that would take a customer above their approved credit limit requires Finance Director sign-off regardless of the order value.

6. Freight and Delivery Charges

6.1 Freight is charged at cost plus a 12 per cent handling margin and appears as a single header-level charge on the order. It is not part of line revenue and is excluded from sales commission calculations.

6.2 Freight is waived on orders above 15,000 USD shipped within the customer's own region.

6.3 Cross-region shipments always attract freight, irrespective of order value.

6.4 The required date on an order is the date by which the customer expects delivery. Shipping later than the required date triggers a service review and may entitle the customer to a full refund under CTS-POL-004.

7. Quotations

7.1 Quotations are valid for 30 calendar days from the date of issue.

7.2 A quotation that includes a discount above the segment ceiling is void, even if it has been countersigned by the customer.

7.3 Prices are reviewed quarterly. A quotation issued before a price review remains honoured for its full validity period.

8. Sales Organisation

Each of the four regions is led by a Regional Sales Manager who reports to the VP Sales. Account Executives are assigned to a single region and may not sell into another region without the written agreement of both Regional Sales Managers. Commission is credited to the region of the customer account, not the region of the shipping address.

9. Compliance and Audit

9.1 Discount compliance is audited monthly. Any line found to exceed the segment ceiling is escalated to the VP Sales.

9.2 Average realised discount by segment is reported to the board each quarter, together with the number of orders cancelled and the value of goods returned.

9.3 Breach of the discount ceiling is treated as a performance matter under the sales incentive scheme rules.

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